Remitly 409A Valuation — Re-performance Memo

Oct 29, 2026 · @PARNIKA

Purpose and conclusions

Remitly's three re-performed 409A values are supportable. The two OPM backsolves reproduce the reported common values within 1%, and the 2021 hybrid reconciles to the IPO range once the scenario structure is taken into account.

Valuation date	Reported FV	Method	Model FV	Difference
15-Aug-2019	$2.51	OPM backsolve to Series E ($5.9566)	$2.52	+0.3%
05-Aug-2020	$3.54	OPM backsolve to Series F ($9.1456)	$3.57	+0.7%
31-Aug-2021	$28.73	Hybrid PWERM/OPM	$28.73 (solved)	implied IPO value $34.5–36.1

- **Subject:** fair value of Remitly Global's common stock at three pre-IPO dates, for option grants (IRC §409A safe harbour; ASC 718 grant-date fair value).
- **Scope:** an independent re-performance from public filings. We rebuilt the capital structure and the waterfall, backsolved equity value from the preferred rounds, tested the DLOMs, and reconciled the final pre-IPO value to the $38–42 range and the $43 IPO price.
- **Deliverables:** an Excel model (breakpoint OPM, PWERM, hybrid, DLOM) and a Python validation notebook. Per-share amounts are in $.

Company, capital structure and charter terms

Remitly, a cross-border remittance platform, had eight series of preferred stock carrying a $399.8M aggregate preference, all ranking equally. It listed on NASDAQ (RELY) on 22-Sep-2021 at $43 (press release).

Series	Original issue price	Shares (Aug-2020)	Liquidation preference
Seed	$0.2729	6,446,322	$1.8M
Seed Prime	$0.2961	8,643,665	$2.6M
A	$0.49764	10,359,546	$5.2M
B	$0.8805	14,196,476	$12.5M
C	$1.7032	25,146,777	$42.8M
D	$3.7914	30,331,802	$115.0M
E	$5.9566	22,663,933	$135.0M
F	$9.1456	9,294,084	$85.0M
Total		**127,082,605**	**$399.8M**

- **Preference:** each series receives the greater of 1× its issue price or its as-converted value, so it is non-participating. All series are pari passu, with no seniority stack (charter, Ex. 3.1).
- **Conversion:** 1:1 with broad-based weighted-average anti-dilution. A qualified IPO (at least $9.1456/share and $100M gross proceeds) forces conversion, so every IPO scenario puts all holders on a common-equivalent footing.
- **Other securities:** shares by series are from the 10-Q Q3-2021; the rest are from the 10-K FY2021 and the S-1.

Date	Common	Options (weighted-avg strike)	RSUs	Warrants
Aug-2019	22,425,112	19,045,751 ($1.50, estimated)	—	256,250 ($0.42)
Aug-2020	24,289,906	21,034,424 ($1.88)	—	256,250 ($0.42)
Aug-2021	26,385,643	25,355,906 ($3.13)	617,696	256,250 ($0.42)

Framework

The standard of value is fair market value of a minority, non-marketable common share. In practice this is the same as ASC 718/820 fair value for an option's underlying share.

- **IRC §409A:** options granted below the fair market value of the underlying common stock create taxable deferred compensation. An independent appraisal provides a safe-harbour presumption of reasonableness, provided it is no more than 12 months old and there has been no material change since.
- **ASC 718:** the grant-date fair value of each option is computed with Black-Scholes. The common stock value is the key input, so an understated value means understated stock-compensation expense (the SEC's "cheap stock" concern ahead of an IPO).
- **AICPA Valuation Guide:** sets out the allocation methods (CVM, OPM, PWERM, hybrid). A recent arm's-length preferred round is the strongest evidence of value; the OPM backsolve infers total equity from it. The guide also sets the expectation that the value path from the last round to the IPO price is explained.

Methodology

The method follows Remitly's: an OPM where a priced round anchors value and no IPO is in sight, and a hybrid PWERM/OPM once an IPO becomes likely.

1. **Waterfall and breakpoints.** Below $399.8M of exit value, all proceeds go to preferred holders pro rata. Above that, common participates. Each security then joins once the common value per share passes its threshold: Seed converts at $0.27, the warrants exercise at $0.42, and so on up to Series F converting at $9.15 (a $1.54B exit in 2020).
2. **OPM.** Total equity follows a lognormal process to a single liquidity date. Each tranche between breakpoints is a call spread: C(lower breakpoint) − C(upper breakpoint), allocated to the securities participating in it.
3. **Backsolve.** Total equity is solved so that the OPM value of the most recent round's security equals the price paid: Series E at $5.9566 for 2019 and Series F at $9.1456 for 2020. The model then reads off the common value.
4. **DLOM.** The common value is minority and illiquid, so a discount for lack of marketability is applied. It is tested against the Finnerty average-strike put and the Chaffe protective put.
5. **Hybrid (2021).** In the IPO scenarios, all preferred converts and common is worth the IPO value per share, discounted for time and DLOM. A delayed-exit scenario uses the OPM. The scenarios are combined with Remitly's disclosed weights.

Common value = Σ over tranches k of $[C(BP_{k-1}) - C(BP_k)] \times$ (common shares ÷ shares participating in tranche k), where $C(K) = V_0 N(d_1) - K e^{-rT} N(d_2)$ is a Black-Scholes call on total equity V_0 struck at breakpoint K.

Alternatives considered and rejected

- *Current value method:* only appropriate when a liquidity event is imminent or the company is at an early stage. It ignores the option-like value of common when preferences are large relative to equity (2019–2020).
- *Pure PWERM in 2019–2020:* IPO timing and values were too uncertain to set discrete scenarios credibly.
- *Pricing common at a fixed discount to the round:* this ignores the preference structure and is not accepted under the AICPA guide.

OPM backsolve results (2019 and 2020)

	15-Aug-2019	05-Aug-2020
Calibrated to	Series E at $5.9566	Series F at $9.1456
Time to exit, T	3.5 years	2.5 years
Volatility, σ	54%	54%
Risk-free rate (3-year Treasury)	1.44%	0.16%
Backsolved total equity	$663.7M	$932.8M
Common value, marketable	$3.60	$4.75
DLOM applied (company)	30%	25%
Common fair value: model	**$2.52**	**$3.57**
Common fair value: Remitly 409A	$2.51	$3.54
Difference	+0.3%	+0.7%

Both dates reproduce within 1% with one volatility, one exit date and the company's own DLOMs. σ = 54% is the top of the range Remitly disclosed for its own option grants (53.8–54.0% in 2019). An early-stage OPM normally uses volatility at least that high.

Robustness. Searching the (T, σ) grid finds the pairs that hit the reported value exactly, and the base inputs lie on or next to that frontier on both dates. A ±10% error band covers most plausible combinations, because the round price anchors the whole structure. The 2019 option strike is estimated; moving it from $1.00 to $2.00 changes the result by about ±$0.02.

What changed between the dates. Total equity grew 41%, but marketable common value per share grew only 32%. The $85M Series F (9.29M shares at $9.1456) added a new layer with a $9.15 conversion threshold, so the OPM gives common a smaller share of the gain than a pro rata view would. After the lower DLOM (25% vs 30%), common fair value rose 42%.

DLOM analysis

The company's DLOMs were tested against two put-based benchmarks, using the same T and σ as the OPM:

- **Finnerty (2012), average-strike put.** This models a holder who cannot pick the best time to sell, so it tends to sit at the low end.
- **Chaffe (1993), at-the-money European protective put.** This prices insurance against falling value over the whole holding period, so it is the upper end.

Finnerty: $v^2T = \sigma^2T + \ln[2(e^{(\sigma^2T)} - \sigma^2T - 1)] - 2\ln(e^{(\sigma^2T)} - 1)$, and DLOM = $N(v/2) - N(-v/2)$. Chaffe: DLOM = the value of an at-the-money European put with term T, divided by the share value.

	2019 (T 3.5, σ 54%)	2020 (T 2.5, σ 54%)
Finnerty	21.0%	18.3%
Company DLOM	**30%**	**25%**
Chaffe	35.3%	32.8%
Common FV at Finnerty	$2.84	$3.88
Common FV at Chaffe	$2.33	$3.20

Both company DLOMs fall inside the Finnerty–Chaffe range and close to its midpoint: slightly above it in 2019 (30% vs 28.2%) and slightly below it in 2020 (25% vs 25.6%). A higher DLOM lowers both the 409A strike and the ASC 718 expense, so auditors look at this direction. Here neither year is an outlier. The step down from 30% to 25% matches the one-year-shorter time to exit. Across the full range, common FV is $2.33–$2.84 in 2019 and $3.20–$3.88 in 2020, which makes the DLOM the largest judgement in the common value after the backsolve itself.

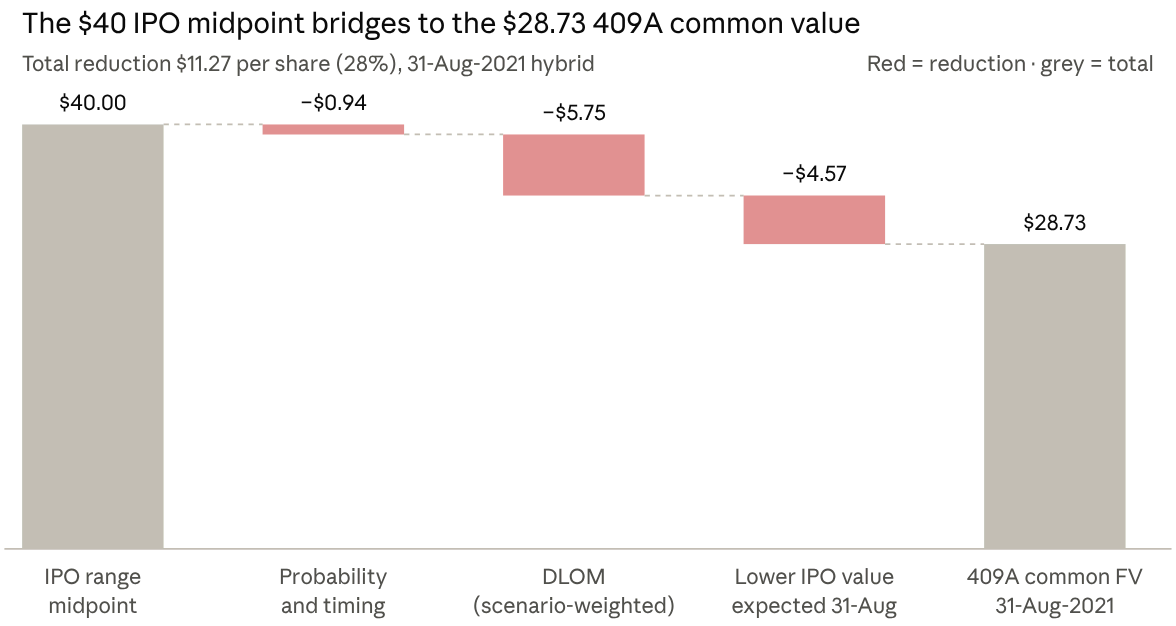
2021 hybrid and cheap-stock reconciliation

On 31 August 2021 the 409A valued common at $28.73. Ten days later the IPO range was set at $38–$42, and the stock priced at $43 on 22 September. A gap that large is the classic cheap-stock question, and the SEC raised it in its comment letter. The test here is whether the $28.73 can be rebuilt from the scenario weights and DLOMs Remitly disclosed in its response letter.

Structure. The hybrid weights three scenarios:

- an early IPO in September 2021 (77.5% weight, DLOM 13.5%);
- a later IPO about six months out (15%, DLOM 16%);
- a delayed exit valued with the OPM (7.5%, DLOM 25%).

The IPO value is the one unknown. Solving for the value that returns $28.73 gives an **expected IPO value of $34.51 per share**. At the $40 midpoint the same model gives $33.30, so $28.73 is lower than the midpoint would support:



Model output (val409a.py / Hybrid_2021 sheet) · hybrid at the $40 midpoint with Remitly's disclosed scenario weights and DLOMs

Sensitivity of the implied IPO value. Varying the discount rate from 15% to 30% and the timing of the later IPO from 0.25 to 1.0 years keeps the implied value between $34.12 and $35.56. The conclusion does not depend on those undisclosed inputs.

Second calibration target. Remitly also disclosed a blended DLOM of 14.2%. With the delayed-exit scenario at full IPO-implied equity, the model's blended DLOM is 14.7%. Matching both numbers at once requires the delayed-exit equity to be about a third of the IPO-implied value ($2.29B vs $6.41B), with an implied IPO value of **$36.07**. A delayed exit worth much less than the IPO case is a reasonable downside scenario.

Conclusion. The $28.73 is consistent with an expected IPO value of **$34.5–$36.1**, 10–14% below the midpoint the banks set ten days later. The remaining gap to $43 reflects book-building after the valuation date, and on its own that is not evidence of cheap stock. An auditor would still ask for the banks' August valuation indications to support the implied value.

The common value path (from $2.51 in August 2019 through $3.54, $4.95, $6.55, $9.65 and $14.11 to $28.73) shows Remitly re-measured often as the IPO approached. Grants between valuation dates used values linearly interpolated between them. That is a common retrospective practice when value is rising fast, and it avoids relying on a stale 409A.

Mock auditor review: comments and responses

#	Auditor comment	Response
1	Why backsolve to the Series E/F round rather than use a market approach?	Each round was an arm's-length transaction for a security in this capital structure within months of the valuation date, which is the most observable Level 3 input available. A guideline-company cross-check would be added in a full engagement (see Limitations).
2	The 2019 option strike is estimated. How sensitive is the result?	Moving the strike from $1.00 to $2.00 changes common FV by about ±$0.02, under 1%. The options sit at the bottom of the waterfall, so their strike barely moves the breakpoints.

#	Auditor comment	Response
3	Support σ = 54%.	It is the top of Remitly's own disclosed option-grant range (53.8–54.0% in 2019). The (T, σ) frontier shows the reported value is reproduced by a band of pairs around the base case, not by one fine-tuned point.
4	Is a single exit date appropriate when the exit could be an IPO or a sale?	In 2019–2020 no exit was imminent, so a single-date OPM is standard under the AICPA guide. Once an IPO became likely in 2021, the analysis switched to a hybrid, as Remitly did.
5	The DLOMs exceed Finnerty. Are they too high?	Both lie inside the Finnerty–Chaffe range and near its midpoint, and they fall as time to exit shortens. The effect is quantified: FV ranges from $2.33 to $2.84 (2019) and from $3.20 to $3.88 (2020).
6	Explain the $28.73 vs the $43 IPO price.	The bridge attributes about $0.9 to probability and timing, $5.8 to DLOM and $4.6 to the lower IPO value expected on 31 August. The implied $34.5–$36.1 should be agreed to the underwriters' August indications before sign-off.
7	The hybrid relies on inputs Remitly did not disclose (discount rate, later-IPO timing, OPM T and σ).	The implied-IPO-value grid moves only $34.12–$35.56 across those inputs. The conclusion holds for any reasonable choice.
8	The model matches the reported FV but not the blended DLOM (14.7% vs 14.2%).	Added a second calibration: solving for both gives an implied IPO value of $36.07 and a delayed-exit equity about a third of IPO equity. The difference is disclosed rather than hidden.

Open item. The underwriters' valuation indications from August 2021 are not public. They are the single document that would close comment 6.

Limitations and sources

Limitations

- **Public data only.** The board-approved 409A reports, underwriter indications and full cap tables are not public. Cap tables are taken from the nearest year-end or S-1 date, not the exact valuation date.
- **Estimated inputs.** The 2019 option strike ($1.50) is estimated; it moves the result by about ±$0.02. The 2021 discount rate, later-IPO timing and OPM T and σ are assumptions; the implied IPO value grid covers them.
- **No market approach.** A full engagement would cross-check the backsolve against guideline public companies (Wise, Western Union, Euronet, PayPal) and an income approach.
- **Simplified waterfall.** The model assumes all preferred is 1x non-participating and pari passu with 1:1 conversion (per the charter), no declared dividends, and options exercised for cash. It ignores option vesting and forfeiture in the share count.
- **Purpose.** This is an independent re-performance for educational purposes, based on public filings. It is not a valuation opinion and is not affiliated with Remitly or its advisers.

Sources

- Remitly SEC response letter on cheap stock, 15-Sep-2021: 409A values, methods, scenario weights and DLOMs, IPO range
- Remitly S-1, August 2021: capitalization at June 2021
- Amended and Restated Certificate of Incorporation (Exhibit 3.1): preferred terms
- Remitly 10-Q, Q3 2021: preferred shares by series, liquidation preference
- Remitly 10-K, FY2021: options, common shares, option-pricing volatility
- US Treasury daily par yield curve, 2019: 2019 risk-free rate
- FRED GS3, 3-year Treasury constant maturity: 2020 and 2021 risk-free rates
- Remitly IPO pricing press release, 22-Sep-2021: $43 IPO price
- Finnerty, J. D. (2012). An average-strike put option model of the marketability discount. *Journal of Derivatives*, 19(4).
- Chaffe, D. B. H. (1993). Option pricing as a proxy for discount for lack of marketability in private company valuations. *Business Valuation Review*, 12(4).
- AICPA Accounting and Valuation Guide, *Valuation of Privately-Held-Company Equity Securities Issued as Compensation*.